# INTRODUCTION

In this learning module, we focus on the relative creditworthiness of non-financial corporate borrowers, building on earlier learning modules on corporate issuers as well as the earlier fixed-income module on credit risk and its components.

In particular, we assess a company's activities, or its business model, and how this affects the company's ability to meet its debt obligations. While a company's probability of default (POD) and loss given default (LGD) are not directly observable, in the first lesson we consider qualitative and quantitative factors that affect these credit risk components. Financial statement analysis and cash flow projections are important tools used to conduct corporate credit analysis. The second lesson applies these tools to calculate and interpret a variety of financial ratios, including profitability, leverage, and coverage metrics, to assess an issuer's probability of default. The seniority rankings of specific debt issues and use of collateral are of particular importance in determining credit ratings for a corporate issue and assessing the LGD in an event of default, which is addressed in the third and final lesson.



## Learning Module Overview

- The credit risk of a borrower can be evaluated using qualitative and quantitative criteria that affect a company's likelihood of default and the investor's loss in the event of a default.
- Qualitative factors important in gauging creditworthiness include a company's business model, its industry, and its competitive position and business risks, as well as its corporate governance
- Quantitative factors in measuring creditworthiness involve financial statement analysis and forecasts, which use profitability, liquidity, leverage, and coverage measures to gauge a company's ability to meet its fixed debt obligations.
- Financial ratios are a critical tool used to assess the financial health of a company, identify trends over time, and compare companies within and across industries.
- Seniority rankings determine the priority of claims on an issuer's assets and are important determinants of the loss given default for a specific issue. Rating agencies typically provide both issuer and issue ratings for corporate credit.
- While an issuer credit rating captures the probability of default or expected loss of the issuer's senior unsecured bonds, an issue rating refers to specific financial obligations of an issuer and takes such factors as seniority into account.

## Learning Module Self-Assessment

**1.** Which of the following is *not* a characteristic of higher corporate creditworthiness?

**A.** Lower leverage
**B.** Higher coverage
**C.** Lower liquidity

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**Solution:**

principal.

**2.** All else being equal, a borrower will have higher capacity to repay its debt in an industry where the:

**A.** barriers to entry are higher.
**B.** threat of substitutes is higher.
**C.** bargaining power of buyers is higher.

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**Solution:**

The correct answer is A. An industry with higher barriers to entry tend to have lower threat of new entrants and lower competition. All else being equal, a borrower in such an industry has higher capacity to support its debt.

**3.** Identify the key credit metrics used in credit analysis:

EBIT margin.

Debt/EBITDA.

EBIT/interest expense.

| | |
|---|---|
| 1. Coverage metric | |
| 2. Leverage metric | |
| 3. Profitability metric | |

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**Solution:**

| | |
|---|---|
| 1. Coverage metric | **C. EBIT/interest expense** |
| 2. Leverage metric | **B. Debt/EBITDA** |
| 3. Profitability metric | **A. EBIT margin** |

**4.** Companies X, Y, and Z belong to the same industry with the following financial ratios:

| | Company X | Company Y | Company Z |
|---|---|---|---|
| EBITDA margin | 15% | 18% | 18% |
| Free cash flow (FCF) after dividends/debt | 10% | 10% | 8% |
| Debt/EBITDA | 1.5 | 1.5 | 1.8 |
| Debt/capital | 35% | 35% | 38% |
| EBITDA/interest | 5.6 | 6.2 | 6.2 |

Based on the following financial ratios only, which company has the lowest credit risk?

**A.** Company X
**B.** Company Y
**C.** Company Z

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**Solution:**

The correct answer is B. Compared to Company X, Company Y has similar leverage metrics but better profitability and coverage. Compared to Company Z, Company Y has similar profitability and coverage but better leverage ratios.

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credit risk among the three companies.

**5.** Rank the recovery rate of the following bonds in the capital structure of a company in bankruptcy from the highest to the lowest:

- Junior subordinated debt
- Senior unsecured debt
- Subordinated debt
- Second lien debt
- First lien debt

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**Solution:**

**1.** First lien debt
**2.** Second lien debt
**3.** Senior unsecured debt
**4.** Subordinated debt
**5.** Junior subordinated debt

**6.** Two senior unsecured bonds of the same issuer of different maturities have the same:

**A.** issue credit rating only.
**B.** issuer credit rating only.
**C.** issuer and issue credit rating.

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**Solution:**

The correct answer is C. An issuer rating usually applies to its senior unsecured debt and is meant to address an obligor's overall creditworthiness.

All senior unsecured bonds are treated as one class and rank pari passu irrespective of maturity. Therefore, both the issuer and the issue credit ratings are the same.

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